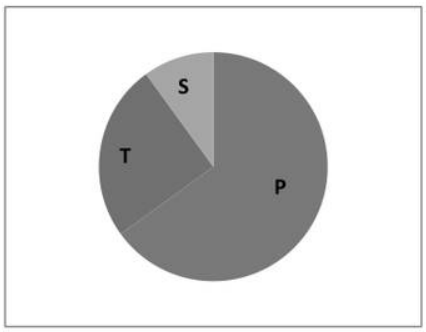
Type MS · Draw a sector pie chart for a country

Answer 1 of 4 · Question 3 part c · 3 marks

2021 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** Demographic changes A is not correct because this would affect the supply curve C is not correct because this would affect the costs of production D is not correct because this would cause a movement along	**(1)**

Question Number	Which **one** of the following is an example of an external cost? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Litter A is not correct because this is an external benefit C is not correct because it is a private cost D is not correct because it is not an external cost	**(1)**

Question Number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Primary sector (P) being the biggest **(1)** Award 1 mark for the Primary sector (P) being greater than 50% **(1)** Award 1 mark for the remaining smaller portion being divided between the Tertiary (T) and the Secondary (S) sectors **(1)**  	**(3)**

Type MS · Draw a sector pie chart for a country

Answer 1 of 4 · Question 3 part c · 3 marks

2021 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply. Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Excess supply is where supply is greater than demand and there are unsold products in the market • Market forces refer to supply and demand, as well as how they determine the allocation of scarce resources and price • Where there is excess supply at 10 000 Kip, price will fall as a result of supply being greater than demand • Therefore, at 10 000 Kip, eight LOCA drivers wanted to offer journeys but only four passengers wanted to buy • If drivers lowered their price to 8 000 Kip the excess supply would be removed • Demand rises as the price falls, until the equilibrium price of 8 000 Kip and the equilibrium quantity of six journeys is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a sector pie chart for a country

Answer 1 of 4 · Question 3 part c · 3 marks

2021 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education. Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • Education is an external benefit because it has a positive spillover effect • This means that the students who gain education at universities in Norway can benefit third parties in the future • This is because the students can obtain more highly skilled jobs as a result of the education, which can be beneficial to the wider society • As a result, the standard of living in a country, such as Norway, may be better and productivity may be higher • Unemployment may therefore be reduced, as shown by the low rate in Norway, meaning there would be fewer costs to the government, and so it may be cheaper to pay for the education instead of welfare benefits **AO4** • There could be an opportunity cost. The money spent on education could be used for other needs such as healthcare • It will take time for the benefits of education to be enjoyed by others in the country • The students may not stay in Norway, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether students become employed in successful jobs which can benefit society

Type MS · Draw a sector pie chart for a country

Answer 1 of 4 · Question 3 part c · 3 marks

2021 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a sector pie chart for a country

Answer 1 of 4 · Question 3 part c · 3 marks

2021 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, **the percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working. Answer	Mark

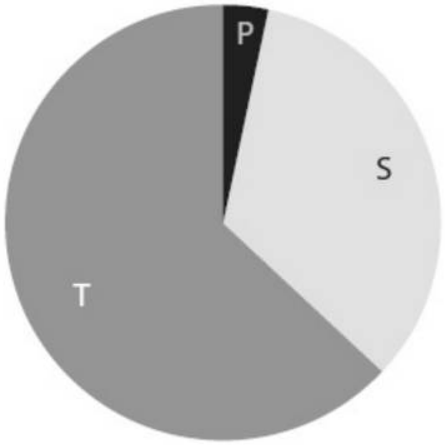
Type MS · Draw a sector pie chart for a country

Answer 2 of 4 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · Draw a sector pie chart for a country

Answer 2 of 4 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a sector pie chart for a country

Answer 2 of 4 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a sector pie chart for a country

Answer 2 of 4 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · Draw a sector pie chart for a country

Answer 2 of 4 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a sector pie chart for a country

Answer 2 of 4 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a sector pie chart for a country

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

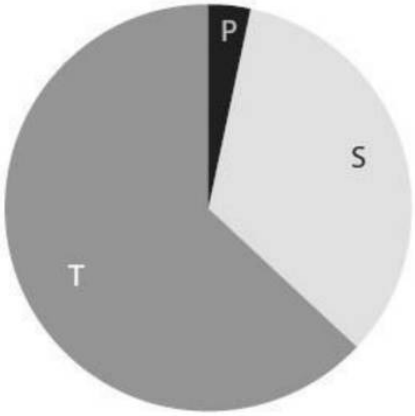
3(a)	**AO1 1 mark** The only correct answer is: **A** The joining together of two firms B is not correct because this is privatisation C is not correct because this means one firm ceases to exist D is not correct because a merger reduces competition in the market	**(1)**

Question number	Which one of the following is a reason why a government would introduce a minimum wage? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** To close the income gap between the rich and the poor A is not correct because if wages increase fewer benefits would need to be paid B is not correct because higher wages may increase motivation D is not correct because this would increase their costs and reduce their profits	**(1)**

Type MS · Draw a sector pie chart for a country

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question number	On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**  	**(3)**

Type MS · Draw a sector pie chart for a country

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

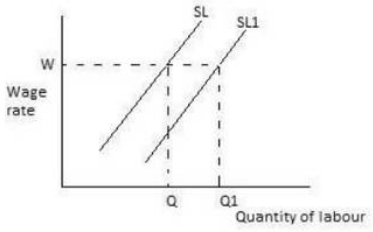
Question number	With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External costs are negative impacts on third parties • Local people and workers in the city's business district could suffer from negative externalities as a result of the tower being built • Negative externalities include noise pollution, air pollution, congestion and overcrowding • Building the tower is likely to be noisy, create dust and require an excess of vehicles in the area • This means that building the tower is likely to lead to negative externalities • Neither the producers nor the consumers would be the ones suffering from the pollution and congestion

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a sector pie chart for a country

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Migration occurs when a person moves to live in a foreign country • There will be an increase the supply of labour, which shifts the labour supply curve to the right, when there is an increase in the number of workers entering a country and available for employment • Possible use of a diagram  • This could increase in the number of workers employed in a city such as Dubai and will reduce labour shortages in particular sectors • The fact that 2 million migrants (80% of the population) live in Dubai, providing services such as construction, highlights the large contribution migration makes towards the supply of labour in the city • This should help Dubai's economy to be more productive and expand **AO4** • However, the majority of immigrants work in construction, cleaning and care services • This means there may not be a large increase in the supply of labour in other sectors of the economy • The migrant workers may not have the right skills to fill all labour shortages • The supply of labour may only be short-term if migrants return to their home countries after a short period of time. This may make migration less effective as a way to increase the supply of labour • Increasing the retirement age, reducing the school-leaving age or making it easier for females to participate in the workforce may be more effective ways to increase the supply of labour • This is because these methods may make it more effective to keep a long-term supply of labour as well as to recruit workers into jobs in other sectors of the economy than those such as construction, cleaning and care services

Type MS · Draw a sector pie chart for a country

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a sector pie chart for a country

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question number	Calculate the total revenue for the product that has a price elasticity of demand (PED) which is inelastic. You are advised to show your working. **Answer**	Mark

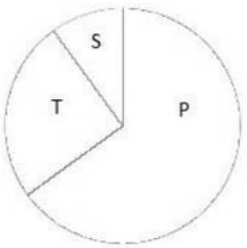
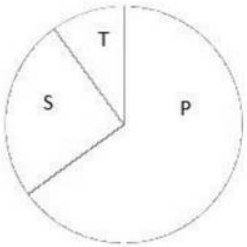
Type MS · Draw a sector pie chart for a country

Answer 4 of 4 · Question 3 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Price of substitute goods A is not correct because this would affect the costs of production B is not correct because this would not shift the demand curve D is not correct because this would affect the supply curve	**(1)**

Question number	Which **one** of the following is an example of an external cost? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Litter B is not correct because this is a private cost C is not correct because this is not an external cost D is not correct because this is an external benefit	**(1)**

Question number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for the primary sector (P) being the biggest **(1)** Award 1 mark for the primary sector (P) being greater than or equal to 50% **(1)** Award 1 mark for the remaining portion being divided between the tertiary (T) and the secondary (S) sector **(1)**  OR  	**(3)**

Type MS · Draw a sector pie chart for a country

Answer 4 of 4 · Question 3 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When excess demand occurs, there are not enough tickets available in the market • As not enough tickets are supplied at 1 500 krona, price will rise as a result of demand being greater than supply • Therefore, at 1 500 krona, 8,000 tickets would be demanded but only a maximum of 6,000 tickets would be available at an event • If the price increased to 2 000 krona, the excess demand would be removed • Demand falls as the price increases, until the equilibrium price of 2 000 krona and the equilibrium of 6,000 tickets is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a sector pie chart for a country

Answer 4 of 4 · Question 3 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare is an external benefit because it has a positive spillover effect • This means that the people who receive healthcare in Indonesia can provide a benefit to third parties • This is because when people are healthy, they would be more likely to be able to perform their jobs and carry out activities in the economy, which can be beneficial to the wider society • Therefore, firms are also more likely to be able to produce the standard/quality of goods and services demanded by people in Indonesia • Economic growth has therefore increased, as shown by the better-than-expected rise, thus benefitting the people of Indonesia **AO4** • However, there could be an opportunity cost. The money spent on healthcare could be used for other needs such as education • It will take time for the benefits of healthcare to be enjoyed by others in the country because people may not be able to return to work immediately, nor be guaranteed to be productive • People may not stay in Indonesia, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether people maintain/gain employment in jobs which can benefit society

Type MS · Draw a sector pie chart for a country

Answer 4 of 4 · Question 3 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a sector pie chart for a country

Answer 4 of 4 · Question 3 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working. **Answer**	Mark